return $130 billion in capital through an increased buyback and a hike in its dividend. The stock price, which had already begun moving, leapt. After trading as low as $388 in May 2013, the April 2014 announcement of the return of capital pushed the shares to trade as high as $604, a 56 percent gain in one of the largest companies on the stock market in a little under a year. *The Wall Street Journal* noted in an article, "Carl Icahn has proved once again that even in defeat he can turn a tidy profit."[23]

CONCLUSION

> *"There is very little altruism in finance. Wars against corporate managements take time, energy, and money. It is hardly to be expected that individuals will expend all these merely to see the right thing done. In such matters the most impressive and creditable moves are those made by a group of substantial stockholders, having an important stake of their own to protect and impelled thereby to act in the interests of the shareholders generally. Representations from such a source,* in any matter where the interest of the officers and the owners may conceivable be opposed, *should gain a more respectful hearing from the rank and file of stockholders than has hitherto been accorded them in most cases."*
>
> —Benjamin Graham. *Security Analysis* (New York: McGraw Hill) 1934.

Through his genius and his experience, Graham understood intuitively what others would demonstrate empirically 75 years later: That stocks appear most attractive at the peak of their business cycle when they represent the worst risk-reward ratio, and least attractive at the bottom of their cycle when the opportunity is at its best. Though they appear intensely unappealing—perhaps *because* they appear so intensely unappealing—deeply undervalued companies offer very attractive returns. Often found in crises, they have tanking market prices, receding earnings, and the equity looks like poison. At the extreme, they might even be headed for liquidation and losing money in the process. That's why they're cheap. As Graham noted in *Security Analysis*:[24]

> *If the profits had been increasing steadily it is obvious that the shares would not sell at so low a price. The objection to buying these issues lies in the probability, or at least the possibility, that earnings will decline or losses continue, and that the resources will be dissipated and the intrinsic value ultimately become less than the price paid.*